# APPRAISAL REPORT

Cypress Commons | Las Vegas, NV

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| **Subject Property** | Cypress Commons |
| **Address** | 6461 Railroad Boulevard, Las Vegas, NV 23840 |
| **Property Rights Appraised** | Fee Simple |
| **Effective Date of Value** | December 20, 2022 |
| **Market Value Conclusion** | $85,700,000 |

## Submarket Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Cypress Commons is located in Las Vegas, NV, a market that has recorded 9.4% population growth over the last five years. Rent growth in the submarket has averaged 7.1% annually over the past 10 years.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 3.5% annually over the past 8 years. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Resident turnover has averaged 5.4% annually with renewal retention above 88.3%. Cypress Commons is located in Las Vegas, NV, a market that has recorded 9.6% population growth over the last five years. Median household income within a 7-mile radius of the property is approximately $209,000 and has grown 4.5% annually.

## Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 30 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 5.5 acres and is generally level with frontage along Railroad Boulevard.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 11 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 20.20 acres and is generally level with frontage along Railroad Boulevard. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

## Submarket Analysis

The Las Vegas Multifamily market has experienced absorption of 1200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 4-mile radius of the property is approximately $223,000 and has grown 2.7% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Market vacancy for comparable Multifamily product stands at 9.9%, down from 5.1% two years ago.

Rent growth in the submarket has averaged 5.7% annually over the past 7 years. Median household income within a 5-mile radius of the property is approximately $273,000 and has grown 7.7% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Cypress Commons is located in Las Vegas, NV, a market that has recorded 6.4% population growth over the last five years. Average in-place rent is $1,279 per month against an average unit size of 973 square feet.

## Site Description

The site contains approximately 44.44 acres and is generally level with frontage along Railroad Boulevard. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 37.37 acres and is generally level with frontage along Railroad Boulevard. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

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## Demographics and Employment

Rent growth in the submarket has averaged 7.8% annually over the past 10 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Cypress Commons is located in Las Vegas, NV, a market that has recorded 12.3% population growth over the last five years. Resident turnover has averaged 5.8% annually with renewal retention above 96.7%. Employment growth is led by healthcare, logistics, education and professional services sectors. The Las Vegas Multifamily market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Market vacancy for comparable Multifamily product stands at 6.9%, down from 7.2% two years ago. Resident turnover has averaged 7.0% annually with renewal retention above 95.7%. The Las Vegas Multifamily market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Cypress Commons is located in Las Vegas, NV, a market that has recorded 8.1% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

## Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 18.18 acres and is generally level with frontage along Railroad Boulevard. Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

The site contains approximately 22.22 acres and is generally level with frontage along Railroad Boulevard. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

## Submarket Analysis

Market vacancy for comparable Multifamily product stands at 8.1%, down from 7.0% two years ago. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Investor demand for Multifamily assets in Las Vegas remains strong with recent trades at capitalization rates between 7.66% and 7.66%. Rent growth in the submarket has averaged 6.0% annually over the past 7 years.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Multifamily product stands at 2.8%, down from 4.0% two years ago. The Las Vegas Multifamily market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 6-mile radius of the property is approximately $158,000 and has grown 9.0% annually. Resident turnover has averaged 6.1% annually with renewal retention above 92.8%.

## Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 44 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 44.44 acres and is generally level with frontage along Railroad Boulevard. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer.

## Demographics and Employment

Rent growth in the submarket has averaged 3.1% annually over the past 5 years. Cypress Commons is located in Las Vegas, NV, a market that has recorded 5.8% population growth over the last five years. Median household income within a 8-mile radius of the property is approximately $479,000 and has grown 8.1% annually. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

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## Construction Details

Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 12 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

## Construction Details

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 43-year membrane system with an estimated remaining useful life of 7 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Cypress Commons was originally constructed in 1969 and consists of 416 apartment homes in a building of 4 stories. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The roof is a 2-year membrane system with an estimated remaining useful life of 9 years. Common area interiors have been refreshed within the last 6 years and are in average to good condition.

## Improvements Description

Cypress Commons was originally constructed in 1969 and consists of 416 apartment homes in a building of 37 stories. The roof is a 48-year membrane system with an estimated remaining useful life of 12 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Resident turnover has averaged 6.5% annually with renewal retention above 93.9%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 25-year membrane system with an estimated remaining useful life of 12 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

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## Sales Comparison Data

| Comparable | Location | Sale Date | Size | Price | $/Unit or SF | Cap Rate | Yr Built |
|---|---|---|---|---|---|---|---|
| Harbor Apartments | Jacksonville, FL | 04/05/2023 | 437 | $75,448,043 | $181,365 | 7.56% | 2001 |
| Pelican Commons | San Diego, CA | 07/13/2026 | 531 | $89,499,329 | $215,143 | 7.63% | 1993 |
| Palisade Apartments | Atlanta, GA | 05/29/2026 | 344 | $38,608,183 | $92,808 | 6.06% | 1992 |
| Ridgeline Lofts | Richmond, VA | 12/24/2022 | 331 | $86,788,209 | $208,626 | 5.60% | 1971 |
| Wexford Apartments | Orlando, FL | 08/23/2022 | 594 | $36,062,442 | $86,689 | 6.98% | 2001 |
| Hollis Residences | Minneapolis, MN | 10/30/2023 | 468 | $81,425,572 | $195,735 | 7.91% | 1996 |
| Elmhurst Flats | Sacramento, CA | 06/23/2025 | 533 | $80,618,870 | $193,795 | 8.17% | 1988 |
| Sterling Commons | Boston, MA | 07/04/2023 | 318 | $58,332,109 | $140,221 | 6.91% | 2017 |
| Newport Terrace | Norfolk, VA | 01/24/2024 | 559 | $72,676,362 | $174,703 | 7.52% | 1973 |
| Newport Lofts | Buffalo, NY | 05/28/2025 | 368 | $61,921,526 | $148,850 | 8.08% | 1972 |
| Valley Residences | Cleveland, OH | 08/29/2025 | 302 | $67,958,546 | $163,362 | 7.04% | 2019 |
| Glenview Villas | Pittsburgh, PA | 11/01/2024 | 492 | $46,778,401 | $112,448 | 6.57% | 1988 |
| Amberly Lofts | Albuquerque, NM | 05/04/2023 | 399 | $63,433,673 | $152,485 | 6.14% | 2021 |
| Ashford Lofts | Riverside, CA | 04/23/2026 | 508 | $99,529,808 | $239,254 | 7.75% | 2005 |
| Pelican Commons | Boston, MA | 03/12/2026 | 617 | $103,548,876 | $248,916 | 7.60% | 2023 |
| Meridian Villas | Grand Rapids, MI | 01/18/2024 | 357 | $82,400,602 | $198,078 | 6.92% | 2018 |
| Copper Villas | Buffalo, NY | 05/07/2024 | 303 | $70,078,369 | $168,458 | 7.02% | 1996 |
| Hawthorne Villas | Sacramento, CA | 05/02/2023 | 390 | $96,646,620 | $232,324 | 7.07% | 1976 |
| Quarry Residences | Norfolk, VA | 06/08/2025 | 516 | $38,446,230 | $92,419 | 7.21% | 1987 |
| Ashford Residences | Birmingham, AL | 06/17/2026 | 309 | $59,623,064 | $143,325 | 6.52% | 2000 |
| Alder Flats | Salt Lake City, UT | 07/10/2025 | 586 | $82,288,180 | $197,808 | 7.17% | 2021 |
| Hollis Flats | Pittsburgh, PA | 03/26/2022 | 225 | $117,899,554 | $283,412 | 5.37% | 1966 |
| Saddlebrook Commons | Madison, WI | 06/30/2022 | 242 | $110,778,053 | $266,293 | 6.78% | 1992 |
| Foxglove Terrace | Nashville, TN | 06/20/2025 | 507 | $86,632,582 | $208,251 | 6.13% | 2023 |
| Nautilus Terrace | Birmingham, AL | 05/20/2026 | 299 | $111,384,052 | $267,750 | 6.40% | 1987 |
| Palisade Apartments | Orlando, FL | 07/10/2025 | 212 | $62,575,582 | $150,422 | 5.92% | 1970 |
| Mesa Residences | Seattle, WA | 02/26/2024 | 289 | $95,319,858 | $229,134 | 7.40% | 1980 |
| Cobalt Residences | Albany, NY | 03/20/2025 | 586 | $43,375,537 | $104,268 | 6.67% | 2021 |
| Dover Villas | Philadelphia, PA | 09/23/2022 | 322 | $35,238,622 | $84,708 | 6.10% | 1967 |
| Pinecrest Lofts | San Antonio, TX | 09/10/2023 | 343 | $107,260,368 | $257,837 | 7.67% | 1971 |
| Gatewood Residences | Buffalo, NY | 05/22/2024 | 294 | $52,092,362 | $125,222 | 5.64% | 1999 |
| Cobalt Villas | Grand Rapids, MI | 04/18/2026 | 256 | $74,032,259 | $177,962 | 5.69% | 2011 |
| Hawthorne Lofts | Seattle, WA | 02/02/2025 | 583 | $87,585,893 | $210,543 | 5.15% | 1967 |
| Magnolia Residences | Norfolk, VA | 10/21/2025 | 341 | $86,768,862 | $208,579 | 5.51% | 2021 |
| Nautilus Terrace | Aurora, CO | 01/23/2026 | 352 | $109,327,249 | $262,806 | 7.76% | 2012 |
| Brookside Lofts | Memphis, TN | 12/04/2022 | 542 | $83,674,781 | $201,141 | 5.73% | 1988 |
| Saddlebrook Lofts | Greenville, SC | 11/13/2022 | 512 | $110,264,192 | $265,058 | 5.91% | 1972 |
| Palisade Residences | Naperville, IL | 10/17/2024 | 289 | $42,089,563 | $101,177 | 7.55% | 2005 |
| Windmill Villas | St. Louis, MO | 08/13/2025 | 386 | $35,413,401 | $85,128 | 5.36% | 1967 |
| Cedar Flats | Grand Rapids, MI | 03/28/2025 | 579 | $113,439,189 | $272,690 | 6.02% | 2023 |
| Ridgeline Terrace | Grand Rapids, MI | 05/04/2025 | 362 | $106,646,576 | $256,362 | 7.62% | 2020 |
| Indigo Residences | Albuquerque, NM | 07/26/2023 | 563 | $94,895,859 | $228,115 | 6.22% | 2012 |
| Sable Villas | Birmingham, AL | 09/12/2023 | 229 | $89,159,410 | $214,326 | 5.17% | 2001 |

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## Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Debt service coverage ratio was 5.28x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.14% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 11.7% annually with renewal retention above 92.6%. Average in-place rent is $1,279 per month against an average unit size of 973 square feet.

Resident turnover has averaged 3.5% annually with renewal retention above 95.6%. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period.

## Operating Performance

Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.43x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $340,000 or approximately 28.41 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,279 per month against an average unit size of 973 square feet.

Resident turnover has averaged 7.0% annually with renewal retention above 91.0%. Debt service coverage ratio was 6.50x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $208,000 or approximately 11.39 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

## Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $369,000 or approximately 32.36 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Resident turnover has averaged 4.3% annually with renewal retention above 91.9%.

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Effective gross income for the trailing period was $92,000, representing a 2.8% increase over the prior year. Operating expenses totaled $137,000 or approximately 41.31 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption.

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# Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Cypress Commons and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on November 22, 2022.

Susan Harper, PE

Stone & Marsh Appraisal

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